

POCL

Sector: Recycling | Date: 17th October 2025

ACCUMULATE

Target Price: Rs. 1,550
CMP: Rs. 1,372
Upside: 13.0%

Company Data

Market Cap (Rs. cr)	4,128
52 Wk High/Low (Rs.)	1,360 - 490
Enterprise Value (Rs. cr)	4,050
Outstanding Shares (cr)	30,511,279
Free Float (%)	60.7%

Key Highlights

- Highest-ever quarterly and half-yearly revenue, EBITDA, and PAT.
- H1FY26 Revenue, EBITDA, and PAT grew by 22%, 83%, and 98% YoY respectively.
- Successfully commissioned Phase 1 of Lead capacity expansion (36,000 MTPA) in April 2025.
- Strategic focus on Target 2030 vision: 15%+ volume growth, 20%+ revenue CAGR, and 8%+ EBITDA margins.
- Strong financial health with healthy net cash position and disciplined operations.

Quarterly Financials

Rs.cr	Q2FY26	Q2FY25	YoY Growth (%)
Sales	6,345	5,724	11.0%
EBITDA	551	300	84.0%
Margin (%)	8.7%	5.2%	—
PAT	356	174	105.0%

Outlook & Valuation

Pondy Oxides and Chemicals is well-positioned to leverage its expanded capacity and shift toward value-added products to drive margin expansion. While the stock has seen a significant run-up, the company's clear roadmap to 2030 and structural improvements in EBITDA margins justify a premium valuation. We maintain an ACCUMULATE rating, expecting the stock to consolidate gains as earnings growth catches up with recent price appreciation.

Y.E March (cr)	FY2025	FY2026E	FY2027E
Sales	20,283	24,339	28,000
Growth (%)	33.1%	20.0%	15.0%
EBITDA	1,076	1,825	2,240
Margin (%)	5.3%	7.5%	8.0%
PAT	651	1,150	1,450
Adj. EPS	21.30	37.70	47.50

